CASCADIA ANALYTICS

INVESTMENT SCORECARD

LRCX

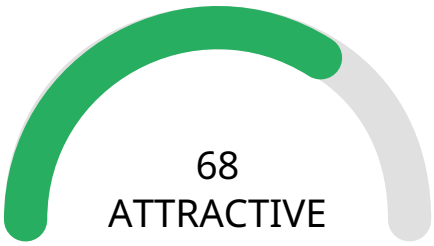
Lam Research Corp (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q4 FY26 (10-K) | Currency: USD

$230.20 [Mkt 23-Oct-26]

Market Cap: $288.6B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Etch monopoly with 51.7% gross margins and 37.4% operating margins. Wide moat, net-cash balance sheet, best-in-class execution. The model's 2031 EBIT margins (Bear 39.0%, Base 41.5%, Bull 44.0%) sit above the filed FY2026 peak of 37.4%: the mechanism is mix, not hope — CSBG services revenue was $2.47B in Q4 FY2026 (about 37% of revenue) and compounds at double-digit rates as the installed base grows, advanced packaging revenue is growing over 50% YoY, and NAND layer scaling raises etch intensity per wafer. FY2026 itself set the peak (operating margin +3.7 pts YoY in Q4), so the ladder extends a filed trajectory by +1.6 to +6.6 pts over five years rather than assuming a new regime from a standing start.

2. Recent Trend — 88

Record Q4: revenue up 30% YoY, margins expanding 370 bps, EPS beat by 7.7%. Guiding to $8.1B next quarter. Accelerating.

3. Forward Growth — 85

WFE at $150B, memory supercycle, advanced packaging at 50%+ growth. Third straight year of outperforming WFE. Drivers are visible.

4. Valuation — 28

Market prices in 31.1% revenue CAGR, nearly double our 17% bull case. DCF base of $171.51 implies 25% downside. Euphoric.

5. Catalysts & Risk 60

Earnings in 5 days are the near-term test. WFE tailwinds are real, but cyclical equipment at peak multiples is fragile. Balanced with downside skew.

Investment Thesis

- **Etch Dominance:** Lam is the undisputed leader in memory etch for 3D NAND (300+ layers). Gross margin of 51.7% [10-K FY26] and operating margin of 37.4% reflect pricing power.
- **AI Capex Tailwind:** WFE raised to $150B for 2026 [8-K guid]. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth.
- **Price Defies Math:** At $230.20 [Mkt 16-Oct-26], the market implies 31.1% revenue CAGR for six years. Our $171.51 base case implies 25% downside. Great company, untenable price.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q4 FY26)	$6.72B [10-K FY26]	+30.0% [10-K FY26]	Up
Gross Margin	51.7% [10-K FY26]	+1.9 pts [10-K FY26]	Up
Operating Margin	37.4% [10-K FY26]	+3.7 pts [10-K FY26]	Up
EPS (non-GAAP)	$1.82 [10-K FY26]	Beat by 7.7% [Cons]	Up
CSBG Revenue	$2.47B [10-K FY26]	+17% QoQ [10-K FY26]	Up
Cash	$5.58B [10-K FY26]	n/a	Flat
Net Cash	$1.86B [10-K FY26]	n/a	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	$17.4B [10-K FY22]	$17.4B [10-K FY23]	$14.9B [10-K FY24]	$18.4B [10-K FY25]	$23.2B [10-K FY26]
Gross Margin	46.1% [10-K FY22]	45.7% [10-K FY23]	47.5% [10-K FY24]	48.9% [10-K FY25]	51.7% [10-Q Q4 FY26]
Operating Margin	30.2% [10-K FY22]	29.1% [10-K FY23]	27.8% [10-K FY24]	31.5% [10-K FY25]	37.4% [10-Q Q4 FY26]

Valuation

Absolute (2/10)

P/E (fwd) 22.4x [Mkt 16-Oct-26]
DCF Base $171.51 [Mkt 16-Oct-26]
FCF Yield ~3.5% [Mkt 16-Oct-26]

DCF math implies 25% downside even with generous growth assumptions.

Versus Peers (3/8)

AMAT 20x P/E [Peers 16-Oct-26]
KLAC 21x P/E [Peers 16-Oct-26]

LRCX trades at a premium to equipment peers without a commensurate ROIC edge.

Versus History (2/7)

Current multiples [Mkt 16-Oct-26]
near 5-year peaks

Trading at the top of its historical range, pricing in a permanent upcycle.

Catalyst Timeline

Oct 21, 2026 [Cons]
Q1 FY27 Earnings (Two-Sided): $8.31B revenue and $2.21 EPS consensus. Test of $8.1B guide.

2026-2027 [8-K guid]
Memory Capex (Positive): NAND layer scaling and HBM demand driving etch intensity.

Ongoing [8-K guid]
WFE Cycle (Two-Sided): $150B WFE in 2026 is a peak; any slowdown hits bookings.

Top Risk Factors (Item 1A)

1. WFE Cyclicality: WFE spending is cyclical; the $150B 2026 level may represent a peak, and any downturn would hit Lam's bookings hard. [10-K FY25]

2. Memory Concentration: Memory customers drive nearly half of systems revenue; a DRAM/NAND capex pause would disproportionately affect Lam. [10-K FY25]

What Would Change Our Score

A 30%+ pullback toward our $171.51 base case would neutralize the Valuation drag and likely lift the composite into the high-70s. Conversely, a WFE downturn or Q1 FY27 miss on Oct 21 would cut Forward Growth and Trend simultaneously.

3. China Export Controls: Export controls on advanced logic and memory tools for China restrict a meaningful end market. [10-K FY25]

Forward Growth Drivers

- Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic [8-K guid]
- Memory systems: NAND revenues doubled sequentially on 256+ layer migration [8-K guid]
- CSBG at $2.1B quarterly run rate, margin-accretive recurring revenue [8-K guid]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used operating margin and ROE qualitatively in Pillar 1.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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